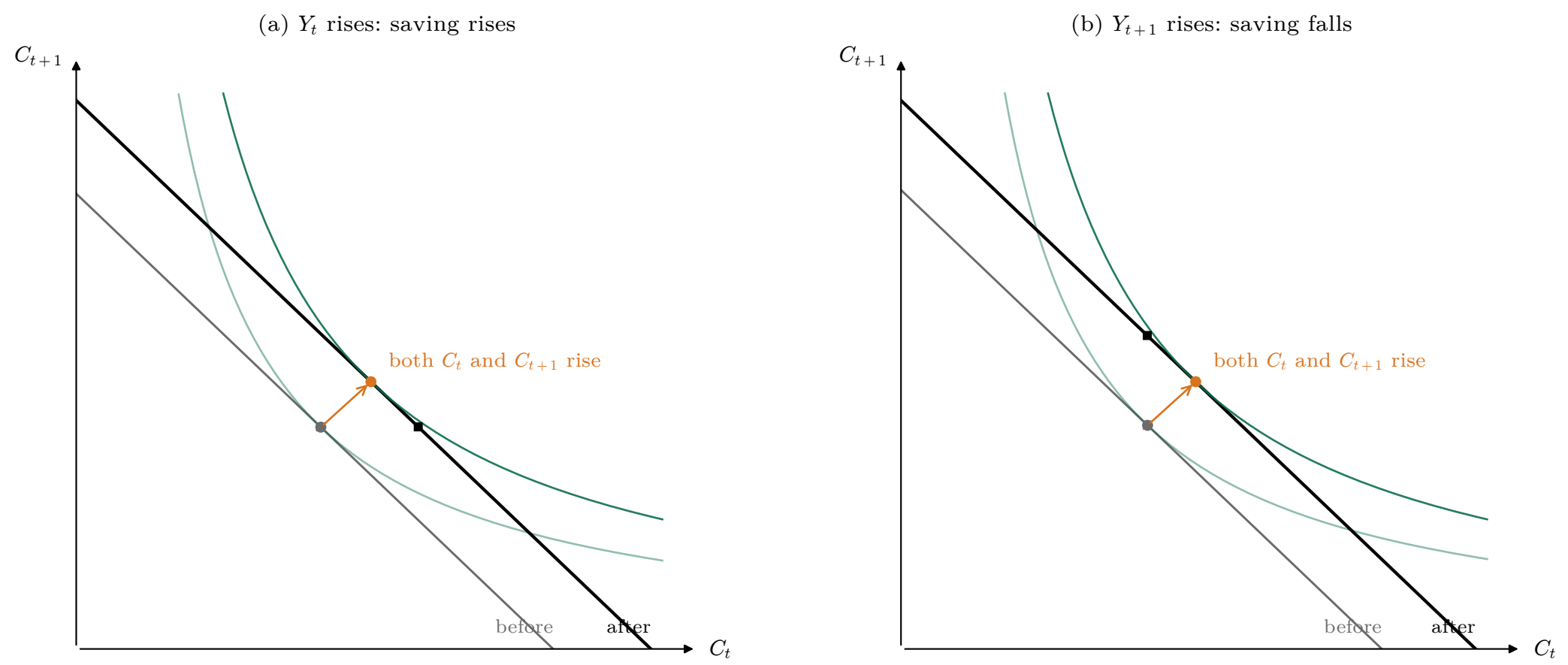

Fig. 3: Whenever income rises, the household raises consumption in both periods: it smooths consumption by adjusting saving.